EXECUTIVE SUMMARY

1. Introduction

"Allacapan: Premier Center of Commerce and Agro-Industry in the Northwestern Cagayan with God-loving, Self-reliant, rich in Culture and globally competitive citizenry living harmoniously in a healthy, ecologically balanced and sustainable environment supported by well-developed service facilities under good governance."

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 590. 4

Allacapan is a third class municipality as per income class and is composed of 27 barangays with a total population of 32,858 in a 6,572 households (Actual data from the MHO based on BHW Census 2013). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P187,496,797.57, P29,993,209.57 and P157,503,588.00, with an increase of 25.88%, 2.62% and 31.55%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P130,456,277.84 and P97,036,549.05, which increase by 9.56% and 10.19% respectively from last year's figures.

Particulars	2017	2016	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	P 187,496,797.57	P148,952,276.68	P38,544,520.89	25.88%
Liabilities	29,993,209.57	29,226,317.93	766,891.64	2.62%
Govt. Equity	157,503,588.00	119,725,958.75	37,777,629.25	31.55%
Financial Performance				
Income	P130,456,277.84	P119,073,702.92	P11,382,574.92	9.56%
Expenses	97,036,549.05	88,062,343.24	8,974,205.81	10.19%
Appropriations, Allotments and Obligation				
Appropriations	P179,596,185.93	P139,083,046.97	P40,515,155.96	29.13%
Allotments	179,596,185.93	139,083,046.97	40,515,155.96	29.13%
Obligations	130,879,711.04	102,680,245.88	28,199,465.16	27.46%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

Particulars	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 222,290.51	P 237,530.51	P (15,240.00)
Due from GOCCs			
Due from LGUs	2,156,578.69	2,647,053.70	P (490,475.01)
Due from NGOs/POs			
Others			
TOTAL	**P 2,378,869.20**	**P 2,884,584.21**	**P 505,715.01**
Fund Received from Other Agencies:			
Due to Other NGAs	P 31,902,757.30	P 14,591,689.48	P 17,311,067.82
Due to LGUs	1,645,667.27	542,290.00	(1,103,377.27)
Due to NGOs/POs			
Others			
TOTAL	**P 33,548,424.57**	**P 15,133,979.48**	**P 16,838,100.05**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P81,886,390.74 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

4. Summary of Audit Observations and Recommendations

For the CY 2017, the Municipality of Allacapan, Cagayan thru the leadership of Honorable Mayor Harry Florida and the member of the Legislative Body and the Executive Staff, received 2nd Rank as the Most Competitive Municipality in the Philippines and Most Competitive Municipality in Region 2 for the year 2017 (3rd-6th class Municipalities Category) both given by DTI-National and is a nominee to the 2017 Search for the Most Outstanding Municipal Peace and Order Council of Region 2 under the DILG-RO2 LGU Incentives and Awards program given by DILG-Regional.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality:

1. The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P81,886,390.74 as of December

31, 2017 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386 and Section 124 of the New Government Accounting System (NGAS) Manual for Local Government Units.

We recommended that the Inventory Committee conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992, Section 124 of the NGAS Manual and Section 122 of P. D. 1445.

2. The Sagana at Ligtas na Tubig Para sa Lahat Program (SALINTUBIG) amounting to P2,406,511.75 remained unutilized for a period of five (5) years notwithstanding the urgent need and nature of the fund and the specific purpose for its release thus, depriving the beneficiaries of the immediate benefit from the intended purpose.

   We recommended that Management implement the SALINTUBIG Fund with urgency considering that these are priority projects. Make representation with the Department of Health as the funding source for possible continuance of the abandoned project. Impose liquidated damages on the contractor Camia Construction for the delayed completion of the project if warranted. Management is also enjoined to comply with the existing laws, rules and regulations with regard to the utilization of financial assistance to ensure and promote delivery of services to the constituents of the locality.

3. The LGU is still operating an open dumpsite for solid wastes contrary to Republic Act No. 9003 or the Ecological Solid Waste Management Act of 2000.

   We recommended that Management:

   a. Prioritize the improvement/ development of the sanitary land fill as a final garbage disposal of the municipality to comply with the requirements of Republic Act 9003.
   b. Conduct information dissemination to communities on proper wastes segregation and disposal thru the barangay officials.
   c. Develop/implement more aggressive approaches/strategies on the implementation of the Local Government Solid Wastes Management Plan thru its Solid Waste Management Board.
   d. Appropriate enough funds to satisfy the implementation and attainment of the ten (10) year national plan as provided by the mandate of R.A. 9003.

4. The slow implementation of various development projects programmed under the 20% development fund for current and continuing appropriations resulted in in the unutilized amount of P23,198,574.81 deprived the constituents of the benefits therefrom which adversely affected the efficiency of the municipality towards the achievement of its goals.

   We recommended that Management:

   a. Make strategic action plan on the proper scheduling in the implementation of the programmed projects /programs to ensure its full implementation as well as utilize the fund budgeted thereof.
   b. Review whether or not the prior years' unimplemented projects are still appropriate for the needs of the constituents.
   c. Ensure that adequate funds are available for the implementation of the continuing and current years' development programs.
   d. Require the Municipal Planning and Development Officer to submit the list of projects not yet implemented at year-end for prioritization in the ensuing year.

5. Audit disallowances and unliquidated cash advances of retired employees amounting to P351,500.00 and P15,194.00, respectively were not deducted from their claims/terminal leave pay despite their authorization to deduct (in affidavit form) all financial obligations with the LGU and were cleared from money and property accountabilities.
   We recommended to demand from the concerned retired employees and officials to settle their unliquidated cash advances as well as the audit disallowances or persons liable to shoulder the supposed collections of settlements.

   Also, the Municipal Mayor to require the Municipal Accountant to explain in writing why the retired employees' claims on terminal leave pay were processed and paid despite the deficiencies noted in its supporting documents. Submit the lacking supporting documents to avoid suspension in audit.

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	804,464.28	195,000.00	999,464.28	-	100%
Current Year	-	-	-	-	
Total	**804,464.28**	**195,000.00**	**999,464.28**	**-**	100%
Disallowances					
Prior Years	6,343,117.80	532,532.66	150,500.00	6,725,150.46	2.18%
Current Year	-	-	-	-	

Total	**6,343,117.80**	**532,532.66**	**150,500.00**	**6,725,150.46**	2.18%
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-two (23) audit recommendations contained in the Annual Audit Report for Calendar Year 2016, ten (10) were fully implemented, seven (7) was not implemented and six (6) were partially implemented.